

SENATE BILL 1376

By Watson

AN ACT to amend Tennessee Code Annotated, Title 56,
Chapter 7 and Title 68, Chapter 140, relative to no
surprise ambulance billing.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 56, Chapter 7, Part 23, is amended by
adding the following new section:

(a) As used in this section:

(1) "Ambulance" means a privately or publicly owned land or air vehicle
that is especially designed, constructed, or modified and equipped and intended
to be used for and is maintained or operated for transportation upon the streets,
highways, or airways in this state for persons who are sick, injured, wounded,
otherwise incapacitated, helpless, or in need of medical care;

(2) "Ambulance service" means the principal use of a privately or publicly
owned ambulance for transportation of injured or infirm persons with an
emergency medical condition;

(3) "Balance billing" or "balance bill" means the practice of charging an
enrollee in a health benefit plan to recover from the enrollee the balance of an
ambulance service provider's fee for transportation received by the enrollee for
ambulance service that exceeds the reimbursable amount for such service under
the enrollee's health benefit plan;

(4) "Emergency medical condition" means a medical condition that
manifests itself by symptoms of sufficient severity, including severe pain,
regardless of the final diagnosis of the symptoms, that a prudent layperson, who

possesses an average knowledge of health and medicine, could reasonably expect the absence of immediate medical attention to potentially result in:

- (A) Placing the person's health in serious jeopardy;
- (B) Serious impairment to bodily functions; or
- (C) Serious dysfunction of a bodily organ or part;

(5) "Health benefit plan" has the same meaning as defined in § 56-7-2355; and

(6) "Health insurer" means an entity offering a health benefit plan.

(b) For health benefit plans issued or renewed on or after July 1, 2025, an out-of-network ambulance service provider shall not balance bill an enrollee in a health benefit plan of a health insurer for ambulance services covered under the enrollee's health benefit plan.

(c) An enrollee satisfies their obligation to pay for out-of-network ambulance services if the enrollee pays the lesser of:

- (1) The in-network cost-sharing amount specified in the enrollee's health benefit plan for ambulance services;
- (2) The ambulance service provider's billed charges; or
- (3) Three hundred twenty-five percent (325%) of the current published rate for ambulance services as established by the federal centers for medicare and medicaid services for the same service provided in the same geographic area.

(d) A health insurer must treat a cost sharing amount determined under subsection (c) paid by the enrollee for out-of-network ambulance services in the same manner as cost sharing for in-network ambulance services and must apply the cost-sharing amount paid by the enrollee for such services toward the enrollee's deductible

and maximum out-of-pocket payment obligation under the enrollee's health benefit plan, as applicable.

(e) An ambulance service organization shall not request or require an enrollee to sign or otherwise execute by oral, written, or electronic means, a document that would attempt to void, waive, or alter a provision of this section.

SECTION 2. This act takes effect July 1, 2025, the public welfare requiring it.